

Target Price: SAR144/share
IPO Price: SAR100/share
Upside: 44% (+~4% Div. Yield)
Rating: Overweight (OW)

Arabian Drilling Co.

To benefit from Oil & Gas Capex upcycle

Stock data	
Listing M.Cap. (SARmn)	8,900
Issue size (shares in mn)	26.7
Offering	30%
Primary offering (mn shares)	9
Secondary offering (mn shares)	17.7
IPO Size (SARmn)	2,670
TASI Ticker	2381

Source: Company data

Valuation (SAR/share)	
DCF (50% weight)	146.0
P/E (50% weight)	142.0
Target Price	144.0

Source: GIB Capital analysis

- Arabian Drilling was the largest land drilling and offshore contractor in 2021 (with 45 available rigs / ~17% market share) in Saudi Arabia, with six decades of experience.
- Recovery from 2020 lows followed by additional contract wins likely to see a ~40% increase in the number of active rigs by 2025, along with a significant improvement in day rates implying ~16% CAGR in revenues and ~28% CAGR in profits during 2021-25.
- We initiate coverage on Arabian Drilling with a target price of SAR144/share (weighted average of DCF and P/E - 18x - valuation) and OW rating. We believe the company stands a good chance to be included in MSCI/FTSE EM indices.

Recovery underway from 2020 lows: In 2019, the company, one of the leading oil drilling services providers in KSA, had 44 active rigs and 100% utilization of 38 onshore rigs. However, as a result of the pandemic and temporary rig suspensions by Aramco, operational rigs fell to 35 in 2020. Renewal of suspended contracts and 4 recently awarded contracts implies contracted rigs could increase up to 44 by the end of 2022. There is visibility for medium/long term growth as key customer Aramco is expected to increase its oil (13mmbpd MSC by 2027) and gas production (+50% by 2030) with its Capex to increase from ~US\$32bn (2021) to ~US\$48bn by 2023e (Bbg. Consensus). Not just the number of rigs, day rates have been improving significantly and average pricing would pick up as rigs come up for renewal. Thus, we estimate the operating margin to likely jump from 17% in 2021 to ~21% in 2022e.

Healthy track record: Track record of 60+ years, highly efficient operations, long contractual periods, consistently high Rig Efficiency Index score (above 90%), and diversification of vendors for Aramco implies assured growth in business even in a highly competitive market. The company's relatively low leverage of 1.1x net debt/EBITDA (2021) also testifies to financial discipline. The dividend payout could be 80% of its earnings from 2023 onwards.

Risks: Global economic slowdown/recession caused by geopolitical issues/high-interest rate environment, short-term stagnation in oil demand due to production cut measures adopted by OPEC+, oversupply in rig market leading to fall in day rates, high dependency on Saudi Aramco, environmental concerns and change in the energy mix are key risks to our investment view.

Figure 1: Key financial metrics

SARmn	2020a	2021a	2022e	2023e	2024e
Revenue	2,533	2,199	2,602	3,437	3,834
Revenue growth	-10%	-13%	18%	32%	12%
Gross Profit	523	469	694	1,056	1,224
Gross Profit margin	21%	21%	27%	31%	32%
EBITDA	1,126	905	1,067	1,440	1,625
Op. income	400	363	547	852	996
Net profit	294	274	367	578	700
Net profit margin	12%	12%	14%	17%	18%
EPS (SAR)	3.3	3.1	4.1	6.5	7.9
P/E	30.3x	32.5x	24.3x	15.4x	12.7x

Source: Company data, GIB Capital

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Investment case

The company was the largest land drilling and offshore contractor (with 45 available rigs or 17% market share in 2021) in Saudi Arabia and Saudi Arabia-Kuwait Neutral Zone. The company was the second largest in terms of the number of land rigs, with a 19% market share (38 rigs) in Saudi Arabia (2021). The company was the third largest in terms of offshore rigs in Saudi Arabia (12% of the market with 7 rigs in 2021). In the broader MENA region, the company is the 8th largest in terms of the number of rigs. The company operates mainly in KSA and seeks to expand in the GCC region.

In terms of operating history, the company's operations span six decades, with Aramco being a key customer since 1972. In general, the company has several marquee customers such as Saudi Aramco (the World's largest oil producer, ~49% of total rigs), Al Khafji Joint Operations (a joint venture between Aramco and Kuwait Gulf Oil company, 7% of rigs), Baker Hughes (4% of rigs) and Schlumberger (the world's largest oil field services company, which is now rebranded as SLB, 33% of rigs). With continuous renewal, most of the rigs have been in operation for a long term (even as high as 20+ years) with general rigs' firm contractual period of 3-5 years.

Driven by Aramco's stability, the oil drilling market in KSA also has historically been resilient to oil price fluctuations and market cycles. The oil drilling market in the Middle East is also a high entry barrier market, with a pre-qualification process spanning multiple years. In such a market, the company's existing track record is a strategic advantage for future growth. The company (pre-IPO) was owned 51% by Taqa (in turn owned by 45.75% PIF/ 4.6% Aramco/ 5.6% GOSI etc.) and 49% by Schlumberger. The company is also looking to expand operations beyond Saudi Arabia and has submitted tender proposals for projects in Bahrain and Kuwait. Saudi Aramco itself has growth plans - to increase its maximum sustainable capacity (MSC) to 13mmbpd (from 12mmbpd) by 2027 and gas production by 50% by 2030, with a 50% increase in Capex levels from 2021 to 2023e.

Most of the company's 45 rigs are either operational or about to start operations (i.e., already contracted but not active). In terms of rigs, 37 rigs out of 45 rigs were contracted and utilized in 2021. Out of the remaining 8 rigs, one offshore rig resumed operations in April 2022, and three onshore rigs resumed drilling by June 2022. The company has also received intimation for resuming another onshore rig (expected by September 2022, as per prospectus) while contract negotiations were underway for another rig. The company has also received an additional contract for four offshore rigs. The remaining two rigs are idle and require upgrades before they can be deployed for use, while the company is looking to sell one rig. Given the significant under-investment in exploration Capex globally, day rates had been declining in the past. However, with an increase in demand and O&G Capex, drilling rates are rising in a significant manner (as high as 35-40% for offshore rigs and 5-7% for onshore rigs), which is expected to help Arabian Drilling as and when rig contracts come up for renewal.

The company has strong technical capabilities and a significant depth of experience in the region spanning several decades. One instance of this capability was evidenced in 2018 when it put into operation 14 new rigs acquired in 2018 and 2 rigs acquired before 2018 within only one year of acquisition. The large scale of operations is also evident from the fact that the company drilled 340 wells in the single year of 2021, while on average, 275 wells were drilled per annum for the last three years.

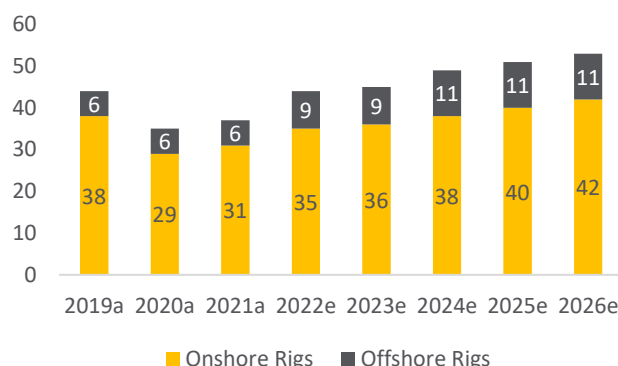
Arabian drilling is one of the largest drilling companies...

...with a long history and has...

... top clients (who also partly own the company).

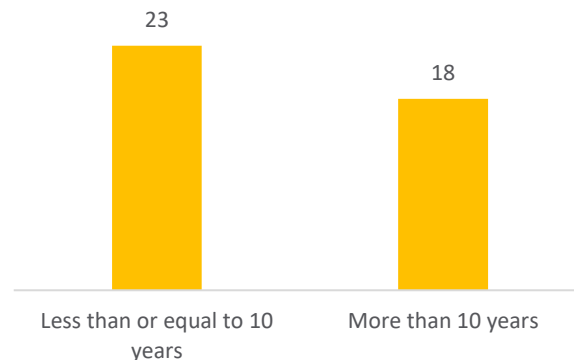
Volumes (Rigs) and Pricing both are likely to significantly jump from the prior lows

Figure 2: Active rigs



Source: Company data, GIB Capital

Figure 3: Rigs' age 2021



Source: Company data

Dividend payout at 80% from 2023e

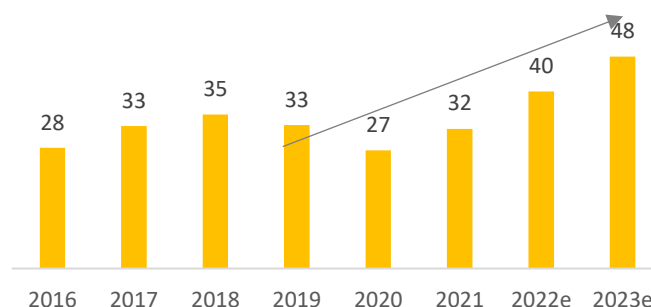
The company has maintained a consistently high Rig Efficiency Index (REI) score above 90% (REI benchmark published by Saudi Aramco). The company has also benefited from premium day rates for its rigs compared to the competition and/or secured longer-term contract extensions and renewals. The company has been able to achieve a high rate of renewals of its existing contracts due to its track record of operational excellence and management capabilities. It has a lean cost structure characterized by a highly skilled workforce with an in-house maintenance and technical team. Further, even in a Capex-heavy business, the company's leverage is relatively low (Net debt/EBITDA of 1.1x in 2021) due to financial discipline. It only acquires new rigs once there are secured contract awards and after ensuring that the project financials meet the required internal return thresholds. The company plans to pay out 80% of earnings as dividends from 2023 (semi-annually from Oct 2023 for 1H23 and April 2024 for 2H23).

Figure 4: Key performance indicators for Arabian Drilling

KPIs	2020a	2021a	2022e	2023e	2024e	2025e	2026e
No. of active onshore rigs	29	31	35	36	38	40	42
No. of active offshore rigs	6	6	9	9	11	11	11
Total no. of active rigs	35	37	44	45	49	51	53
Average day rates for onshore rigs (SAR '000)	129	125	135	135	135	135	135
Average day rates for offshore rigs (SAR '000)	293	265	304	304	304	304	304
Gross Margin (%)	20.7%	21.3%	26.7%	30.7%	31.9%	31.4%	32.0%

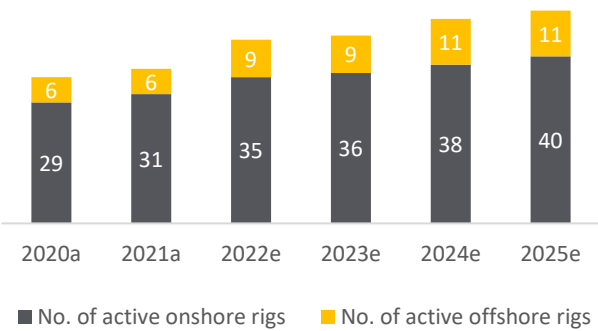
Source: Company, GIB Capital

Figure 5: Aramco's Capex (US\$)



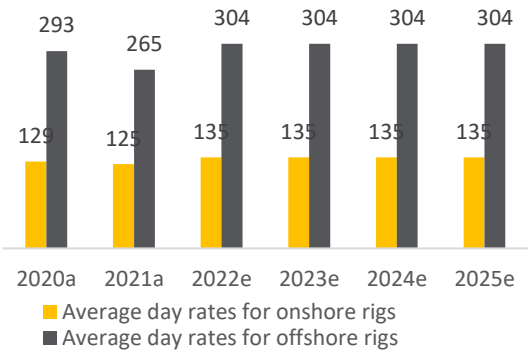
Source: Bloomberg

Figure 6: Number of active rigs



Source: Company data, GIB Capital

Figure 7: Average day rates for onshore and offshore (SAR'000)



Source: Company data, GIB Capital

Assumptions, valuation, and risks

Revenue:

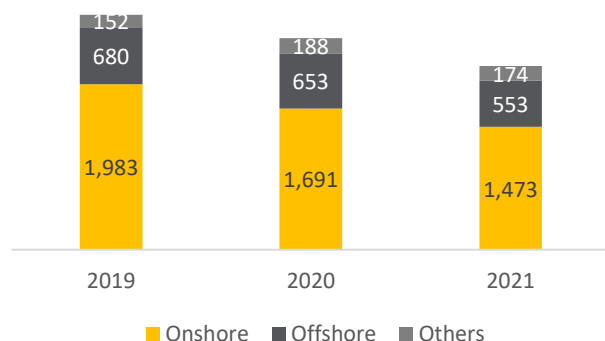
The company derives revenues by deploying rigs for medium to short-term contracts to oil and gas companies and project integrators such as SLB with 3/5-year firm periods and 1/2-year extension options. These rigs are contracted on a 'day rate', which is determined by factors such as market conditions (rig oversupply or shortage), the competition's intensity, and competitors' willingness to submit lower bids, among others. Offshore rigs are leased at higher rates than onshore rigs but are also more expensive in terms of Capex as well as Opex. We expect the company to increase its rig count to 47 and 49 by the end of 2023 and 2024, respectively, from current levels of 45 in 2022e. Average day rates are expected to increase from 2021 levels as the temporary discount given in some rigs' day rates to Aramco is expected to be reversed. Even globally, day rates have been improving significantly in some cases (35-40% for offshore rigs and 5-7% for onshore rigs). We believe the company has a medium-term target of 65 to 70 rigs to be achieved by 2026 (vs our estimate of 53 rigs by the same period), driven by a foray into other GCC markets (which we have not factored).

In 2021-25, we expect drilling revenues to witness a CAGR of 17.9%. Apart from the drilling revenue, the revenues from other businesses like rig movements, mobilization, and others are expected to see modest growth. Hence, Arabian Drilling's revenue in 2021-25 is forecasted at a CAGR of ~16%. For example, the rig move revenue stream is typically dependent on the level of drilling activity in the Kingdom and the customer's instructions as to specific locations within the Kingdom where drilling is planned and may be realized at various stages of a drilling contract.

Three key inputs in our valuation are:

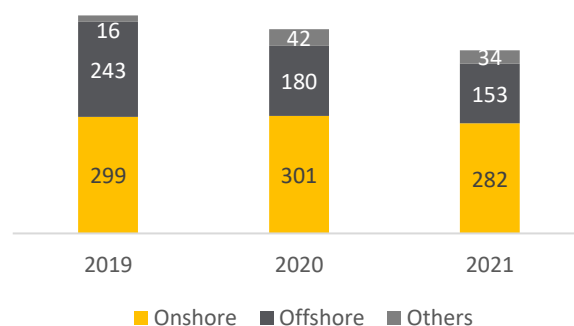
- Rig counts
- Day rates
- Capex levels

Figure 8: Revenue by segment (SARmn)



Source: Company data

Figure 9: Gross profit by segment (SARmn)



Source: Company data

Labour and rig movement expenses are the biggest cost component.

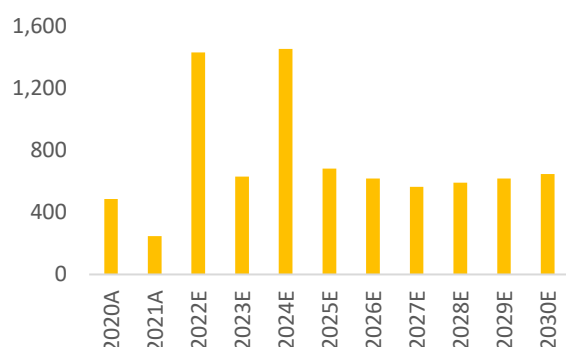
Margins: The gross margins are expected to improve significantly from 21% in 2021 to 27% in 2022, and ~32% by 2026 as idle rigs reduce in number and new rigs are added to the mix, with offshore rig count increasing and more importantly, as discounts seen in 2021 are withdrawn. Thus, the operating leverage helps in improved margins. Also, margins of Offshore drilling are ~2x of onshore drilling (Offshore EBITDA margins are upwards of mid-60% while onshore margins are around mid-30%) because of higher day rates, and thus an increasing proportion to offshore drilling will also help in improving margins. Historically, benchmark day rates have been continuously declining since 2014. The EBITDA margin is guided to be in the low forties

percentage. With regards to depreciation, when properly maintained, offshore and onshore rigs have a useful life exceeding 30 years.

Working capital: The cash flow from operations is expected to witness a healthy growth rate of 10% during 2022-26, with the days' receivables, days inventory, and days payable of 92, 36 and 92, respectively, in 2022e. We anticipate the company to maintain its debt at around 20-35% of Assets. FCF is expected to improve from -SAR454mn in 2022 to SAR950mn in 2026 based on our estimates.

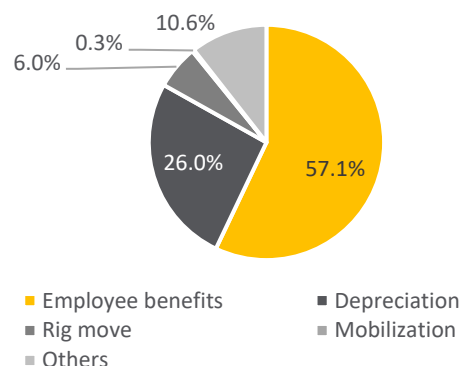
Capex: For annual Capex, we use SAR75mn per onshore rig and SAR375mn per offshore rig, which reflect the lower end of the cost of a rig. A growth Capex of SAR1bn is expected in 2H22, including acquiring two jack-up rigs. The company also plans a SAR200mn Capex to upgrade or refurbish three onshore rigs in 2023. The Capex related to fleet digitalization, selling, general and administrative activities, and the subsidiary OFSAT could be around SAR150-175mn this year. In total, during 2023-25, we factor a cumulative Capex of SAR2.8bn. The age of the Group's offshore fleet ranged from six to over 35 years, with an average of 20.5 years at the end of 2021. Average mid-cycle sustaining capex for a rig is estimated at around SAR7.5mn.

Figure 10: Capex trend (SARmn)



Source: Company data, GIB Capital

Figure 11: Cost of revenue components 1H22



Source: Company data, GIB Capital

Valuation

The nature of the company's business is volatile, with external market conditions driving demand and competition dictating pricing. We expect a higher equity risk premium and a higher beta than the market to account for the business risk. We assume a cost of equity of 11% for our DCF valuation.

For P/E valuation, we use an 18x multiple on 2024 EPS of 7.9/share and arrive at a target of 142/share. As for DCF, we get a SAR146/share as a target based on a terminal growth of 2% and a WACC of 8.5% with a target capital structure of 35% debt to asset. We use equal weights of 50% each for DCF and P/E valuation, which gives us a weighted average target price of SAR144/share and thus we initiate on the company with an Overweight rating. Given that the target price is likely to exceed the minimum requirements for MSCI/FTSE inclusions, there could be a momentum-based rally in the stock before the inclusion dates.

Figure 12: DCF Valuation

DCF model (SARmn)	2023E	2024E	2025E	2026E	2027E	2028E	2029E	2030E
EBIT, adjusted for impairments	852	996	1,008	1,061	1,094	1,127	1,157	1,184
tax	-100	-122	-126	-140	-147	-152	-157	-161
Change in WC	-138	-65	-15	-21	-12	-12	-11	-11
Dep & Amort	588	629	669	667	660	653	648	647
Capex	-630	-1,452	-682	-617	-564	-590	-618	-646
FCF	572	-14	853	950	1,031	1,025	1,020	1,014
Terminal Value								15,809
Enterprise value of explicit period	4,279							
PV of Terminal Value	8,207							
Total Enterprise Value	12,486							
(-) Debt, incl. lease liabilities	-3,500							
(-) Pension/liabilities	-263							
(+) Cash	3,135							
Equity value	11,857							
Number of shares	89							
Equity value per share	133							
Target Price (1 year from today)	146							
Terminal Growth	2.0%							
Cost of Equity	11.0%							
Cost of debt	4.0%							
Target D/A	35%							
WACC	8.5%							

Source: GIB Capital

Figure 13: Peer Valuation

	Mcap (SARbn)	PE (FY1)	PE (FY2)	EV/EBITDA (FY1)	EV/Sales (FY1)
Valaris	17.4	79.3	20.6	12.2	2.9
Noble Corp.	17.2	26.4	9.0	6.5	3.8
Transocean	9.6	-		8.8	3.3
Helmerich & Payne	18.8	-	14.0	6.2	2.6
Halliburton Co	122.2	17.7	12.2	8.0	1.9
Baker Hughes Co	104.6	31.9	16.6	9.0	1.5
Nov Inc	32.2	40.9	19.5	10.9	1.4
Schlumberger Ltd	272.6	23.9	17.3	10.9	2.9
ADNOC Drilling	55.0	19.1	16.6	-	5.8
Nabors Industries Ltd	5.9	-	10.8	4.7	1.7
Median		26.4	16.6	8.8	2.7

Source: Bloomberg, GIB Capital

Figure 14: Relative valuation

P/E Method (Target PE approach)	
P/E (x)	18.0
2024E EPS (SAR)	7.9
Per share value (SAR)	141.7

Valuation	SAR per share	Weights
DCF	146.0	50%
P/E	142.0	50%
Target Price	144.0	

Source: GIB Capital

In terms of EV/EBITDA (~9x) too, the valuation could arrive at around ~SAR150/share (which we do not use given that in Saudi, investors prefer the PE method). The company plans to pay out 80% of earnings as dividends from 2023 (semi-annually from Oct 2023 for 1H23 and April 2024 for 2H23), implying ~4% dividend yield.

Risks

Global economic slowdown or recession: The ongoing Russia-Ukraine conflict has severely impacted the global supply chains and increased inflationary pressures. The central banks worldwide have responded to it with a persistent rise in benchmark rates leading to higher concerns of a recession. Such a scenario could lead to a decline in crude oil demand and destabilize oil prices.

Short-term demand stagnation due to production cut by OPEC+: The production cut strategy adopted by OPEC+ to stabilize the oil prices could lead to short-term demand stagnation, which would be detrimental to the demand for services of Arabian Drilling.

Oversupply in the rig market: A potential oversupply scenario in the KSA rig market could lead to a drop in the day rates and consequently lead to a decline in revenues. However, high barriers to entry due to Saudi Aramco's stringent drilling contractor regulations should help avoid such a scenario.

High dependency on Saudi Aramco: Most of the company's revenues and backlog are dependent on Saudi Aramco. Though the company commands a strong reputation with this key customer, the high dependency on a single customer makes its topline and future earnings potential vulnerable to the quality of the relationship between the two firms.

Environmental concerns: The oil industry is typically associated with the phenomenon of global warming and climate change. The company has policies and procedures to mitigate any ecological risks related to its operations. However, the nature of business has an inherent vulnerability to environmental mishaps that could lead to significant financial and reputational loss to the company.

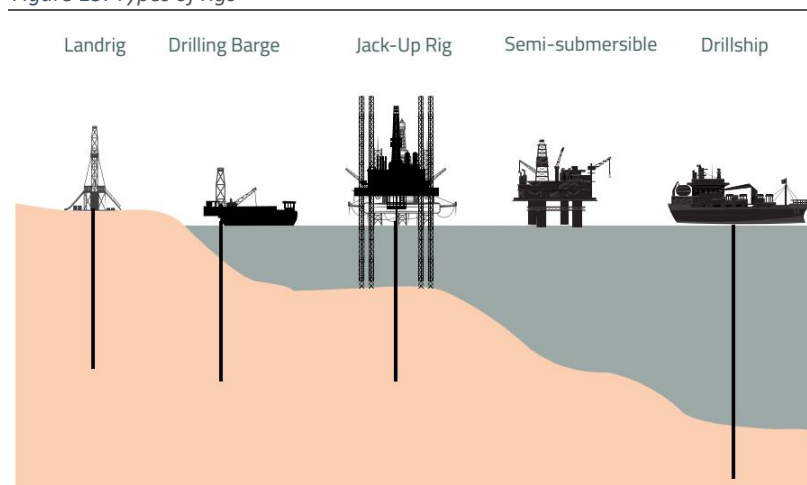
Change in energy mix: Economies across the globe are gradually adopting alternative energy sources and reducing their dependency on oil and gas. Though the shift is expected to remain slow but steady, any faster-than-expected pace of change in the current energy mix would be detrimental to the demand for the company's services.

Company Profile

Arabian Drilling is a leader in a highly competitive industry with a total fleet of available 45 rigs in 2022e and a 17% market share, including 35 onshore active rigs and 7 offshore (jack-up) active rigs. Over the past six decades, Arabian Drilling has become the region's leading provider of drilling services. From only 1 offshore drilling rig in 1964, it reached a total of 9 rigs (6 land rigs, 3 offshore rigs) in 2000, and at the end of 2018, with the largest expansion in Arabian Drilling's history, the company had a total of 43 rigs. Aramco became a client of the company in 1972. PIF, through TAQA, became one of the major shareholders in 2003.

There are different rig types depending on the extraction operation's location. It also depends on whether it is onshore or offshore, water depth, etc. Some types of rigs are shown below:

Figure 15: Types of rigs



Source: Company data

The revenue for the company comes from three major companies, which are Aramco, Schlumberger, and KJO, with a share of revenue of 54.2%, 39.1%, and 6.3%, respectively, in 2021. However even Schlumberger and KJO also indirectly drive their business through Aramco. The key business segments of the company are:

Onshore drilling: This segment includes the provision of drilling and related services through onshore rigs. Onshore drilling is a mechanical process in which a well is drilled onshore through the underlying bedrock utilizing a stationary land rig to explore and extract oil or natural gas. The Group's onshore fleet ranges from medium-heavy to ultra-heavy rigs capable of drilling complicated horizontal wells and operating in harsh environments such as in the Middle East. The Group also provides rig relocation, mobilization, catering, labor, and other services within this segment. More than 50% of its rigs are less than 10 years old, and more than 75% of its onshore rigs feature high-quality specifications with 2,000 horsepower or more. The cost for a rig is between SAR112.5-225mn depending on the capacity and complexity, with an average day rate as of 2021 of SAR124,606 (due to temporary discounts for a few rigs in 2021). The average day rate as of 2020 was SAR129,344.

Offshore drilling: This segment includes the provision of drilling and related services by offshore rigs. The Group's offshore drilling services include ultra-heavy jack-up rigs equipped with highly specialized equipment capable of drilling in water depths of up to 375 feet (115 meters). In the

offshore segment, the group operates mainly on the coasts of the Kingdom's east coast and in the Neutral Zone. The group also operates a self-propelled MPSV that provides well-intervention and well-testing services to its customers. Under this segment, the Group also includes rig relocation, mobilization, catering, labor, and other services. An offshore oil rig costs much more than the onshore one, starting at SAR375mn and going as high as SAR1bn. The age of the company's offshore fleet ranged from 6 to over 35 years, with an average of 20.5 years. For example, AD17 is one of the Group's oldest rigs (having operated for almost 40 years), as of December 31, 2021, and had an average REI score of 98.0 percent. The average day rate as of 2021 is SAR265,250.

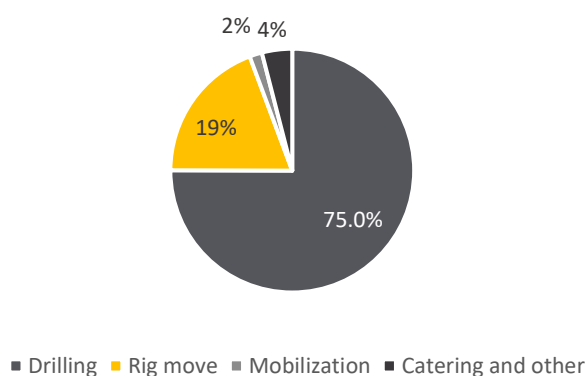
Rig move services: Rig move services incorporate the relocation of any onshore rig to another drilling site in the Kingdom based on the customer's instructions. These services are charged as a fixed-sum payment every time a rig is relocated over the contract lifetime.

Mobilization: Mobilization revenue represents fees for the initial mobilization of onshore and offshore rigs. The Group typically carries out such mobilization to set up the rigs, and fees are charged to the customer at the commencement of the original term of the contract.

Catering, manpower, and other services: This category of the company's services include the workforce sub-contracting customers for their onshore and offshore operations of rigs. The service is provided at a pre-agreed unit rate, and costs are recorded over the contract lifetime by customers signing relevant monthly service entry sheets containing details of their personnel support.

Other non-reportable segment information includes services provided by the Subsidiary, mainly related to **logistics services**. In 2017, Arabian drilling acquired OFSAT Arabia, a leading oilfield rig move company with an extensive fleet of more than 500 specialized winch trucks, cranes, forklifts, low beds, and other machinery. This subsidiary company handles the complexities of transporting rigs of various sizes, providing safe and reliable rig transportation services since 1980.

Figure 16: Revenue split as of 2021



Source: Company data

Company Strategy

Increase market share locally and regionally: The company's largest customer, Saudi Aramco, plans to raise its MSC production to 13mn barrels of oil equivalent per day by 2027, which would drive the demand for Arabian Drilling's services. Moreover, Saudi Aramco is implementing multiple upstream projects, such as Farzan, Berri, Ain Dar, Hawiyah Unayzah, and Marjan reservoirs, which would expand the production capacity. Saudi Aramco is also developing the Kingdom's largest unconventional non-associated gas field, Jafurah. This field is the region's biggest liquids-rich shale gas development, with a capacity of about 200,000bn standard cubic feet of gas. The project would cater to the growing demand for petrochemical feedstock. Apart from leveraging on the domestic energy industry's growth, the company would also explore opportunities in Kuwait and Bahrain and M&As.

Strengthen the workforce of international standards with high Saudization: The company commands a Saudization rate of 76.2% and is committed to maintaining a high level by recruiting, training, and retaining local talent in the form of a highly skilled workforce.

Maintain industry-leading quality of services: Arabian Drilling is focused on providing high-quality services to its customers through competency improvement of employees, using management systems that enhance operational efficiency, and strengthening asset integrity. The company's rigs have been ranked as superior, and high-performance, and the company has proactively utilized technology to manage operations in a better manner.

Cost optimization: The company has continued efforts to streamline operations that support a lean and adjustable cost structure. This allows Arabian Drilling to mitigate any negative impact from major fluctuations in the business cycle.

Rig Efficiency Index (REI) and In-Kingdom Total Value Add (IKTVA)

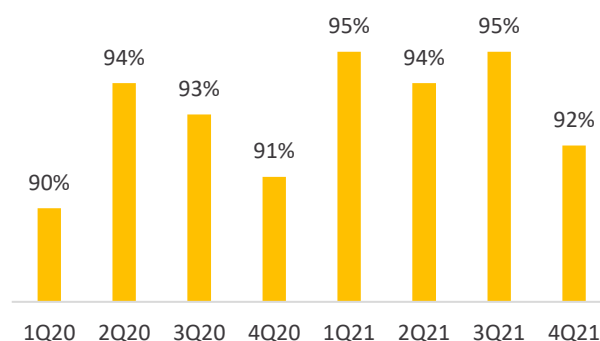
REI is an important operational metric used by Saudi Aramco that measures the performance of each rig provided by its contracted and sub-contracted drilling contractors. REI is determined based on these four parameters:

1. Health, safety, and environment (HSE)
2. Non-productive time
3. Drilling flat time
4. IKTVA (In-Kingdom Total Value Add)

IKTVA is a program by Saudi Aramco that aims to drive gross added value creation in KSA. The program seeks to drive innovation and diversification of the industry in the Kingdom, improve its global competitiveness, and provide quality jobs to the local population.

The REI scores (individual scores are an average of the past 36 months) are published monthly by Saudi Aramco in its REI performance report, which also ranks and categorizes the rigs into performance levels of "Superior Performance", "High Performance", "Consistent Performance", "Average Performance", and "Below Average Performance". The likelihood of a drilling contractor's contract renewal is based on its REI. The REI score also determines the contractor's eligibility to participate in Saudi Aramco tenders and the scope to negotiate a renewal or extension. Arabian Drilling has been a consistent REI outperformer and has been recognized by Saudi Aramco as a leading rig fleet.

Figure 17: Rig Efficiency Index (REI) scores of Arabian Drilling



Source: Company data

ESG

Environmental: The company focuses on several environmental initiatives, including reducing greenhouse gas emissions, water conservation, and waste recycling. It has a program that encompasses short-term initiatives such as improving logistics efficiency and tree plantation campaigns, as well as long-term initiatives like automated power control at rigs and solar power generation. The company's efficient utilization of trucks for onshore rigs helped it reduce emissions by 134 carbon dioxide equivalent metric tons. Moreover, it reduced emissions of 66 carbon dioxide equivalent metric tons by using the Saudi Railways for crew movement instead of buses. It further engages in pilot studies that could use solar or wind energy to power the Tower Light.

Social: The company encourages female employment and promotes gender diversity. The number of female employees registered a healthy growth of 38% y/y in 2021. Most of the workforce is involved in fieldwork at rigs, bases, and yards; hence, the number of female employees at office-based positions rose by 13% y/y.

Governance: The company's corporate governance policies and procedures are designed and upgraded regularly based on the industry's best practices and the Kingdom's regulations. The Compliance Department and its Internal Control System ensure that the daily business operations are run efficiently.

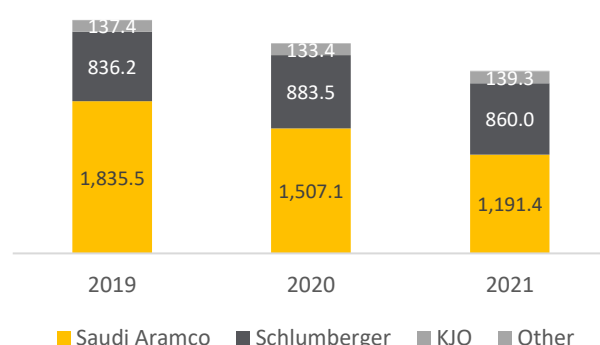
Capital Expenditure

The company's capital expenditure plans include an annual maintenance Capex of about SAR7.5mn per rig that covers regulatory and equipment certifications. A growth Capex of SAR1bn is expected in 2H22, including acquiring two jack-up rigs. During 2023-25, the growth Capex is anticipated to be about SAR2.1-2.3bn towards rig fleet expansion and an additional base. The company could undertake a SAR200mn Capex to upgrade or refurbish three onshore rigs. The Capex related to fleet digitalization, selling, general and administrative activities, and the subsidiary OFSAT could be around SAR150-175mn this year. Apart from these, the other Capex is anticipated at about SAR100mn annually.

Customers

The company's important customers include Saudi Aramco, Schlumberger, Al-Khafji Joint Operations (KJO), and Baker Hughes. Saudi Aramco is the company's largest customer and accounted for 54.2% and 64.1% of the 2021 revenue and backlog, respectively. Schlumberger's operations in the Kingdom provide wireline logging, directional drilling, perforating, and well-testing services, mainly to Saudi Aramco. KJO is a JV between Aramco Gulf Operations Company and Kuwait Gulf Oil Company, which engages in the exploration, drilling, and production of oil and gas in the Neutral Zone located between the borders of KSA and Kuwait. Baker Hughes provides drilling services for water, oil, and gas, and services like well maintenance and seismic surveying in the Kingdom.

Figure 18: Revenue by customer (SARmn)



Source: Company data

Backlog

The backlog represents the maximum contract drilling revenue that could be realized over the remainder of the company's commitment period. It is based on the contractual day rate and executed definitive agreements. However, backlog does not incorporate revenues from capital or upgrade reimbursement, mobilization and demobilization fees, bonuses, recharges, rig move revenue, and any other revenue sources. The commitment period excludes extension options and actual day rates may be different from the contractual day rates as occasionally some discounts may apply.

Figure 19: Backlog (SARmn) as of July 31, 2022

	2022	2023	2024	2025	2026 and beyond
Saudi Aramco	669.7	1,649.3	1,497.8	970.5	723.7
Schlumberger	298.3	614.6	571.4	401.3	0.0
Al-Khafji Joint Operations (KJO)	89.8	209.6	134.0	89.3	111.3
Baker Hughes	31.7	75.6	75.8	34.4	0.0

Source: Company

Suppliers

The company's long-term associations with its core suppliers and service providers help to benefit from higher economies of scale, better vendor cooperation, and reduced costs. Local suppliers represented 64.9% of purchases in 2021, while the remainder was from foreign suppliers, with none of them accounting for over 11% of the total requirement. The key rig suppliers were Nov Saudi Arabia Trading and Cameron Alrushaid. The primary suppliers of spare

parts were Zahid Tractor & Heavy Machinery, Honghua Golden Coast Equipment, NOW Saudi Arabia, SRI Energy, Cameron Middle East, and Arabian Rig Manufacturing. The main suppliers of equipment and materials were Mtq Oilfield Services and Arabian Shipbuilding & Repair Yard.

Figure 20: Suppliers

Supplier	Country	Purchase (%)			Supplied products/services
		2019	2020	2021	
Cameron Alrushaid	KSA	3.20%	5.37%	8.09%	Rig spare parts and inspection certification
Nov Saudi Arabia Trading	KSA	10.76%	9.70%	7.74%	Drilling and mechanical equipment
Arab Shipbuilding & Repair Yard	Bahrain	5.40%	5.44%	1.75%	Shipyard and rig repairs
Honghua Golden Coast Equipment	China	0.03%	10.95%	0.72%	Drilling rigs

Source: Company

Future plans

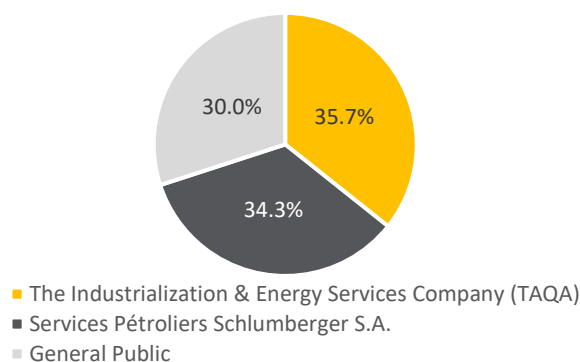
The company management is targeting geographical expansion into the markets of Bahrain, Oman, and Kuwait. It submitted bids for projects in Kuwait this year and is awaiting results. The company is finalizing prequalification requirements for providing onshore drilling services to the Kuwait Oil Company. The bids on projects in Bahrain in 2021 could not be successful. The company further aims to expand its rig fleet and has entered into purchase agreements for two self-elevating drilling rigs, which are expected to be completed in 2H22. Arabian Drilling is setting up a training center that would provide in-house training courses, which would be recognized by the International Association of Drilling Contractors and the International Well Control Forum. This initiative would help the company score high on IKTV and develop a highly skilled Saudi workforce.

IPO details

Arabian Drilling's offering consisted of selling 17.7mn outstanding shares (19.89%) and issuing 9mn new shares (10.11%). The company's capital after the offering will be raised to SAR890mn. The book building price was SAR100/share. The institutional offering was covered over 61 times while the retail tranche was covered over 8 times.

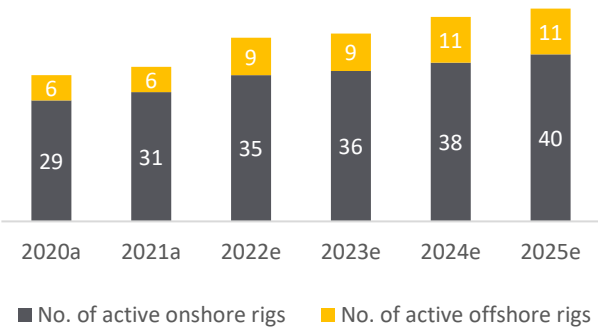
The selling shareholders are The Industrialization & Energy Services Company (TAQA) and Schlumberger.

Figure 21: Ownership after IPO



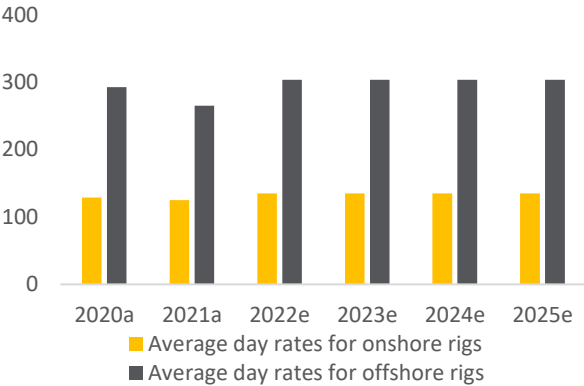
Source: Company data

Figure 22: Number of active rigs



Source: Company data, GIB Capital

Figure 23: Average day rates for onshore and offshore (SAR'000)



Source: Company data, GIB Capital

Market dynamics

Drilling contractors in the MENA region can be divided into four distinct segments. First, a segment of contractors is identified as national/joint venture contractors, the segment to which the Group belongs. These companies are either owned or partially owned by national or state-owned companies. However, some contractors have very well-established relationships with national oil companies and, in some cases, benefit from preferential contractual frameworks. Other segments include regional contractors, international contractors, and premium international drilling contractors, which are distinguished by their ability to achieve higher pricing due to perceived higher quality of service and maintenance of equipment.

There are a variety of players in the KSA drilling market, with no contractor having a market share of more than 30%. Arabian Drilling competes with other players on the market like SANAD (which is a JV between ARAMCO and NABORS), Saipem, and other companies to win contracts. As of 2021, the total Onshore and offshore rigs in KSA and the natural zone was 261 (comprising 59 offshore and 202 onshore rigs). Arabian Drilling is the second largest company in terms of available onshore rig fleet size, with 38 rigs accounting for 19% of the market share in Saudi Arabia, behind SANAD, which has 22% with 44 rigs. In terms of offshore drilling rigs, the company ranks third with 7 rigs, representing 12% of the market share, while ARO drilling is the largest with 16 rigs, representing 27% of the market share. In terms of the total fleet (onshore and offshore), Arabian Drilling is the largest contractor in Saudi Arabia, with 45 rigs. In the MENA region, ADNOC Drilling, a subsidiary of Abu Dhabi National Oil Company (ADNOC), is the largest company, with 112 total rigs in operation.

Statistics show that the global exploration and production sector spending in 2021 was estimated at USD43bn, with USD33bn going to onshore and offshore drilling companies in shallow waters and the other USD10bn going to drilling in deep waters.

As of 2021, the global spending on onshore shallow water drilling contractors is USD23bn, and the spending in KSA is estimated at USD1.4bn (6%). Furthermore, intensified drilling for unconventional gas at the Jafurah field is expected to drive demand for further incremental onshore drilling rigs from 2021 to 2030. The cost to run a drilling rig per day in (GCC) can reach up to USD56,000 per day, while the cost for the rig is between SAR112.5-225mn depending on the capacity and complexity.

Exploration activity in the Middle East is predominantly land-based. However, because onshore resources are maturing, GCC countries are actively spending on offshore exploration and starting with the easier, shallow-water drilling. For offshore drilling, the global spending was estimated at USD10bn, and KSA's share was 14% or USD1.3bn. An offshore oil rig cost is much higher than the onshore, starting at SAR375mn and going as high as SAR1bn. The cost to run a drilling rig per day is between USD600,000 to USD800,000

Total E&P spending in the MENA region on onshore and offshore shallow drilling is expected to grow at a compound annual growth rate of 5% between 2021 to 2025, as per Rystad Energy. On the other hand, KSA intends to increase its production capacity to 13.0mn barrels of oil equivalent per day by 2027. These ambitions will require an increase in total E&P spending on drilling contractors. Thus, KSA is expected to increase spending on onshore and offshore shallow-water drilling contractors at an annual growth rate of 14% between 2021 to 2025.

Up to 2030, the IMF expects that growing oil and gas demand will be mostly driven by growth in global GDP, which is projected to come from the emerging and developing Asian economies since they are anticipated to outperform the global market and grow at a CAGR of 5.5%, with concomitant increases in gas and oil demand of 4.4% and 2.5%, respectively as per Rystad Energy.

Aramco recently announced progress on its strategic gas projects, which are in the execution phase. Construction and design of the Jafurah gas plant, which will process natural gas from the giant Jafurah gas deposit in the Eastern Province, is underway. The plant has a planned processing capacity of 3.1bn cubic feet per day (cf/d) of raw gas and is scheduled for completion in two phases by 2027. The Jafurah field is expected to begin production in 2025, with natural gas supplies gradually increasing to 2bn cubic feet per day by 2030, which will serve as feedstock for hydrogen and ammonia production and help meet growing local energy needs.

Figure 24: Onshore contractors in Saudi Arabia as of 2021

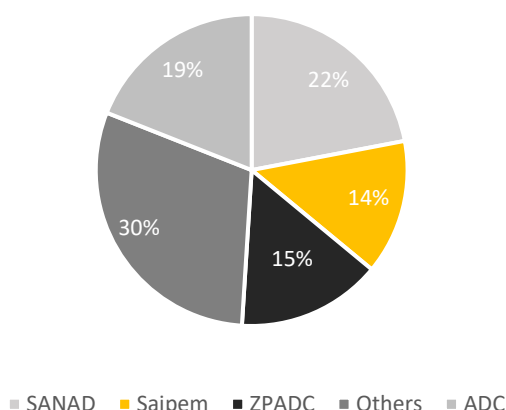
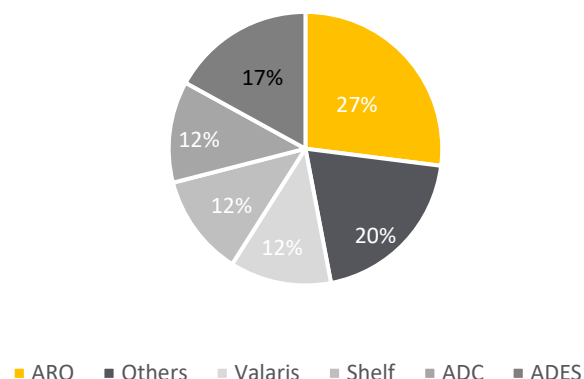


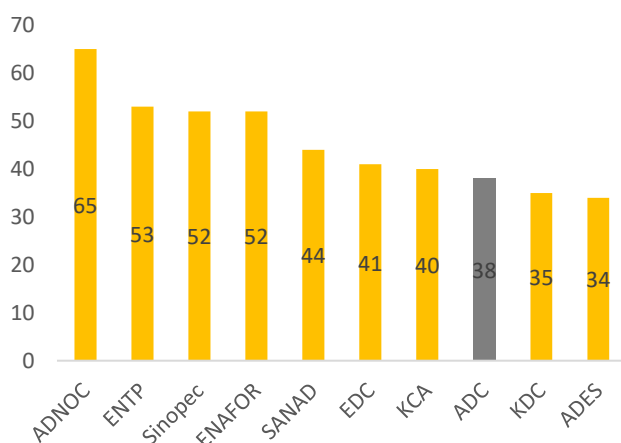
Figure 25: Offshore contractors in Saudi Arabia as of 2021



Source: Rystad, Company Prospectus. ADC = Arabian Drilling Company

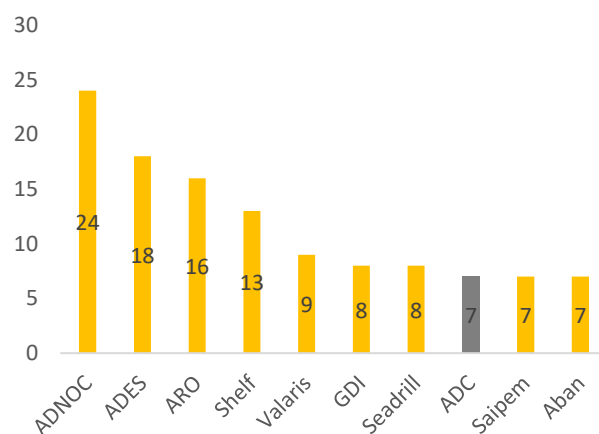
Source: Rystad, Company Prospectus. ADC = Arabian Drilling Company

Figure 26: The top onshore drilling contractors in the MENA region by rig count as of 2021



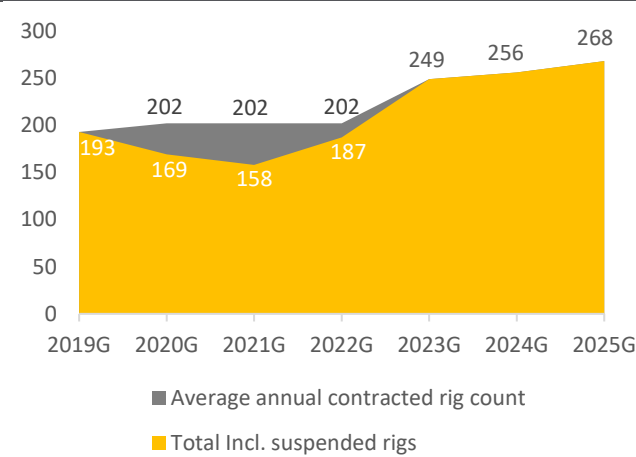
Source: Rystad, Company Prospectus

Figure 27: The largest offshore drilling contractors in the MENA by rig count as of 2021



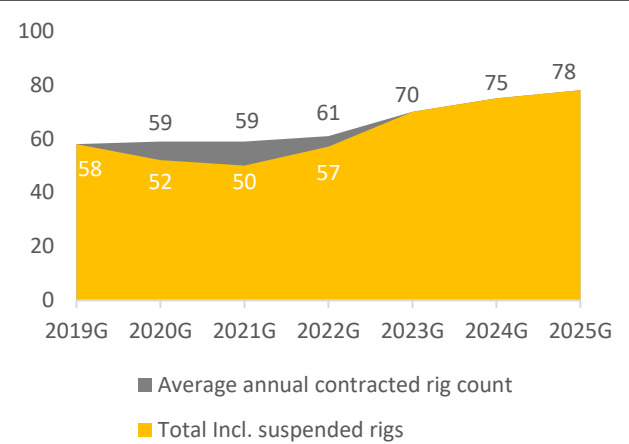
Source: Rystad, Company Prospectus

Figure 28: Onshore rig demand in KSA



Source: Rystad, Company Prospectus

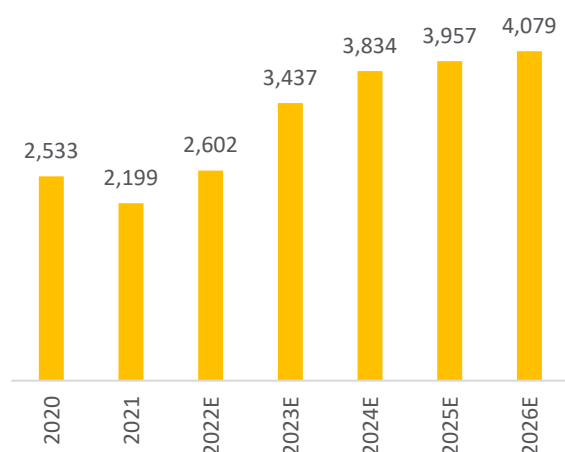
Figure 29: Jack-up rig demand in KSA



Source: Rystad, Company Prospectus

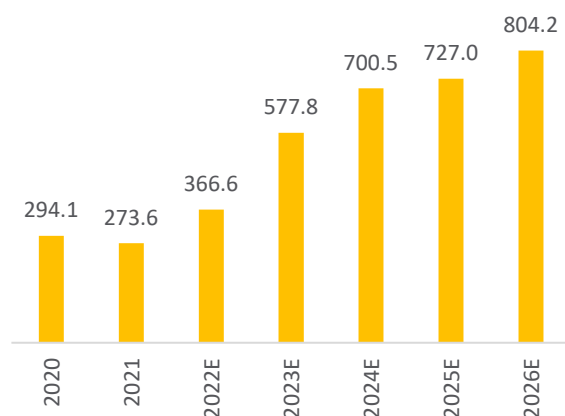
Financial analysis in charts

Figure 30: Annual revenues (SARmn)



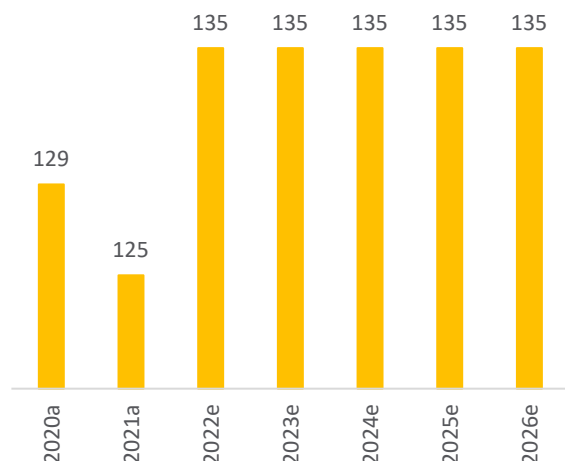
Source: Company data, GIB Capital

Figure 32: Net profit (SARmn)



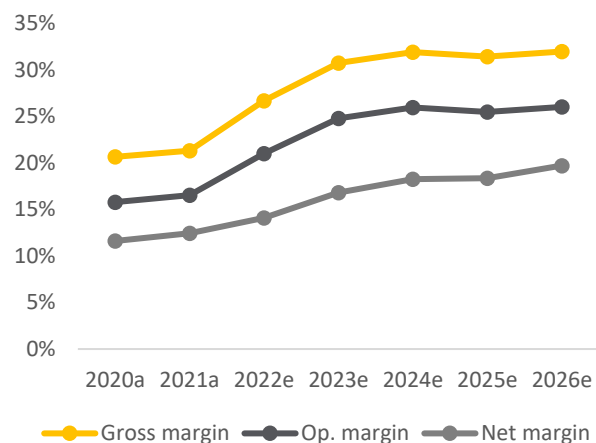
Source: Company data, GIB Capital

Figure 34: Average day rates for onshore rigs (SAR '000)



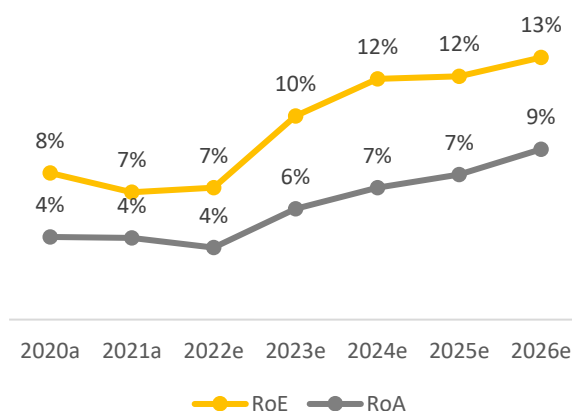
Source: Company data, GIB Capital

Figure 31: Gross, operating and net margin



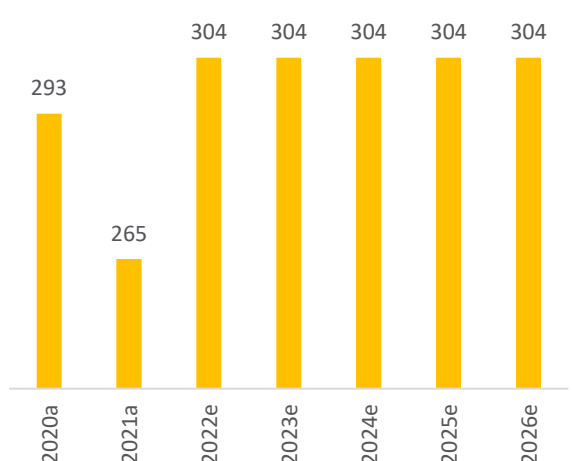
Source: Company data, GIB Capital

Figure 33: Return on equity and assets



Source: Company data, GIB Capital

Figure 35: Average day rates for offshore rigs (SAR '000)



Source: Company data, GIB Capital

Summarized Financial statements

Figure 36: Summary of Financial Statements

Income statement (SARmn)	2020a	2021a	2022e	2023e
Revenue	2,533	2,199	2,602	3,437
revenue y/y	-10%	-13%	18%	32%
COGS	2,009	1,730	1,908	2,381
Gross Profit	523	469	694	1,056
Gross Profit margin	21%	21%	27%	31%
G&A	124	105	155	205
Operating profit	400	363	547	852
Operating margin	16%	17%	21%	25%
Finance costs	63	38	139	175
Net income	294	274	367	578
Net margin	12%	12%	14%	17%
y/y	28%	-7%	34%	58%
EPS	3.3	3.1	4.1	6.5
DPS	0.2	0.3	0.0	5.2
Payout	7%	10%	0%	80%
EBITDA	1,126	905	1,067	1,440
Net debt	1,378	969	618	682

Balance Sheet	2020a	2021a	2022e	2023e
Inventories	158	143	188	235
Trade Receivables	523	696	657	867
Other Current Assets	28	17	17	17
Cash and Equivalents	640	412	2,882	3,049
Total Current Assets	1,348	1,268	3,744	4,168
Intangible Assets	11	6	3	3
Property, Plant & Equipment	5,562	5,259	6,167	6,209
Total Non-Current Assets	5,583	5,269	6,181	6,222
Total Assets	6,942	6,544	9,933	10,399
Current Liabilities	1,152	1,033	1,016	1,136
Non-current Liabilities	1,878	1,320	3,491	3,491
Equity	3,912	4,192	5,426	5,773
Total Equity and Liabilities	6,942	6,544	9,933	10,399
BVPS	48.9	52.4	67.8	72.2

Cashflow	2020a	2021a	2022e	2023e
Cashflow from Operations	1,436	635	908	1,028
Cashflow from Investing	-486	-228	-1,427	-630
Cashflow from Financing	-531	-635	2,989	-231
Total Cashflows	418	-228	2,471	167

Source: Company, GIB Capital

Summarized key ratios

Figure 37: Key ratios

Key ratios	2020a	2021a	2022e	2023e
Profitability ratios				
RoA	4%	4%	4%	6%
RoE	8%	7%	7%	10%
Sales/Assets	36%	34%	26%	33%
Net margin	11.6%	12.4%	14.1%	16.8%
EBITDA margin	44.7%	41.4%	41.1%	41.9%
Liquidity ratios				
Current Assets/ Current Liabilities	1.2	1.2	3.7	3.7
Debt to Total Equity	52%	33%	65%	61%
Receivable Days	75	116	92	92
Inventory Days	29	30	36	36
Payable days	84	96	92	92
Debt ratios				
Net Debt/EBITDA	1.2	1.1	0.6	0.3
Debt/Assets	0.3	0.2	0.4	0.3
Valuation ratios				
P/E	0.8	0.8	24.3	15.4
P/B	2.0	1.9	1.5	1.4
EV/EBITDA	1.4	1.8	1.5	1.1
FCF yield	7.3%	3.0%	-3.4%	4.3%

Source: Company, GIB Capital

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